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Priority Sector Lending Targets and Classification

In exercise of the powers conferred under the applicable statute, the following directions are issued. These directions shall come into force with immediate effect and shall supersede earlier instructions on the subject to the extent that they are inconsistent.

1. Overall target

The overall priority sector lending target for domestic commercial banks shall be forty per cent of adjusted net bank credit or of the credit equivalent of off balance sheet exposure, whichever is higher.

2. Agriculture sub target

Within the overall target, a sub target of eighteen per cent shall apply to agriculture. Of this, a sub target of ten per cent shall apply to small and marginal farmers.

3. Micro enterprises

A sub target of seven and one half per cent shall apply to micro enterprises. Lending to a micro enterprise shall be reckoned under this sub target irrespective of the amount of the loan.

4. Weaker sections

A sub target of twelve per cent shall apply to weaker sections. The categories comprising weaker sections shall include small and marginal farmers, artisans, beneficiaries of government sponsored schemes, and self help groups.

5. Computation

Compliance shall be computed on the basis of the average of the priority sector target achievement at the close of each quarter of the financial year, and not on the position as at the close of the year alone.

6. Shortfall

Where a bank falls short of the target, it shall contribute the amount of the shortfall to a fund notified for the purpose. The contribution shall be made within one month of the close of the financial year.

7. Certificates

Priority sector lending certificates may be purchased to meet a shortfall. The certificates shall be valid until the thirty first day of March of the year in which they are issued, irrespective of the date of issue.